S&P Capital IQ

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Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A

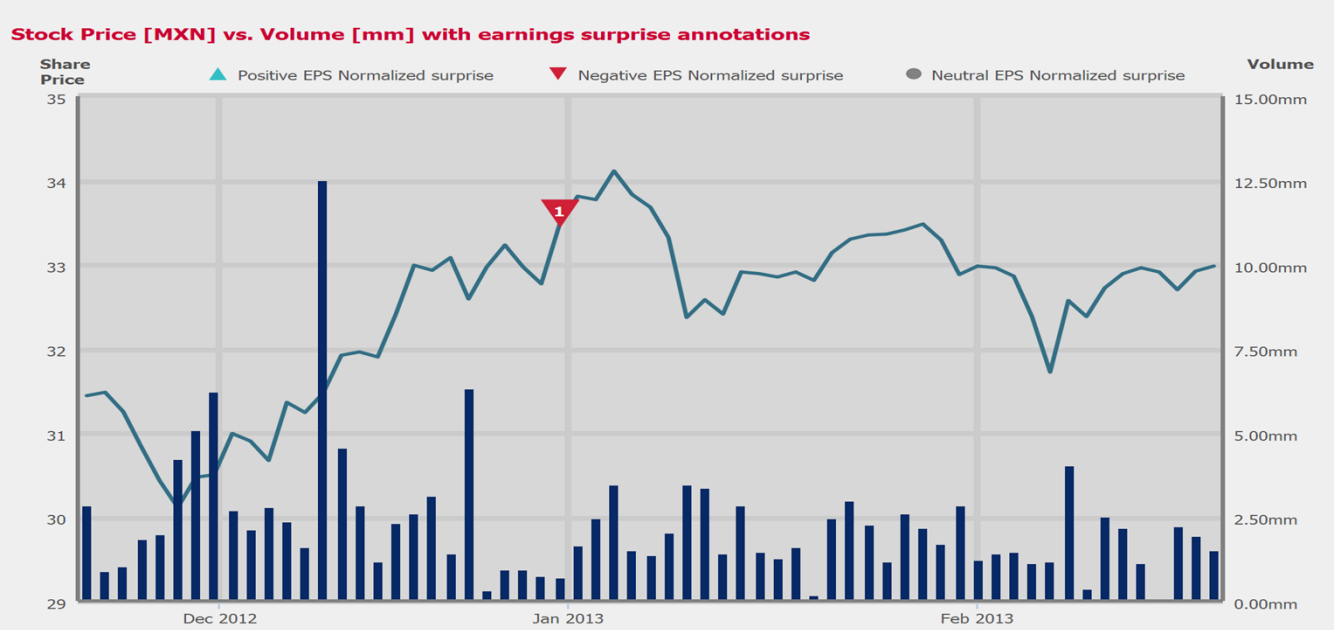
FQ1 2013 Earnings Call Transcripts

Friday, April 26, 2013 3:00 PM GMT

S&P Capital IQ Estimates

	-FQ1 2013-			-FQ2 2013-	-FY 2013-	-FY 2014-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.17	0.12	(29.41 %)	0.27	1.21	1.63
Revenue (mm)	42350.80	41674.00	(1.60 %)	44901.80	178228.14	190525.19

Currency: MXN
Consensus as of Apr-26-2013 3:25 AM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ3 2012	-	-	-
FQ4 2012	0.24	0.04	1 (84.00 %)

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Call Participants

EXECUTIVES

Alfred Penny
President of Bimbo Bakeries USA Inc

Armando Giner

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Steve Mollick

Unknown Executive

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Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's First Quarter 2013 Results Conference Call. If you need a copy of the press release issued yesterday and a copy of the presentation, both are available on the company's website at www.grupobimbo.com/ir.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the conference call over to Mr. Guillermo Quiroz, Chief Financial Officer of Grupo Bimbo. Please go ahead, sir.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Good morning, everyone. Thanks for joining us. Daniel is traveling. But with me on the line are Fred Penny, incoming President of BBU; Steve Mollick, BBU's Chief Financial Officer; and the usual members of our finance team here in Mexico.

Most of you have already seen our press release, so I will focus on the main issues and trends driving our performance in this period. I'll take any questions you may have at the end.

Let's start by saying that there were 3 key issues to take note of this quarter: First, the year-on-year comparable were purely organic with top line growth at less than 2% in peso terms, or 3.3% if we strip out the foreign exchange impact on a consolidated basis; second, we are pleased to report synergies in line with plan in the U.S. as well as additional efficiencies that boosted performance in that operation and supported the consolidated results; lastly, the Brazilian operation is still underperforming due to external factors such as a weak consumption and FX rate as well as our own internal restructuring process. I will go into that in more detail shortly, but I want to highlight that our on-the-ground operations are doing fine, and we continue to enjoy a healthy market share.

Let me now review performance by region. In Mexico, we launched a number of new products and saw decent performance in certain categories. But overall, there was some volume decline due to price increases put in place since the fourth quarter of last year. Also, as you may know, there has been a slowdown in consumption in Mexico. We have -- anticipate, however, that annual growth will be in line with our forecast as pricing is absorbed by consumers over the course of the year.

On the cost of goods sold side, we benefited from stable input prices and better FX. So expansion in gross margin was positive and have -- to generate an improvement in the operating margin despite higher marketing expenses in the period.

Moving on to the U.S., BBU was clearly a highlight in the first quarter. We continue to see positive volume and sales trends in all key categories. A number of new products were launched in the quarter, including the Sara Lee snack cakes, allowing us to take advantage of opportunities in the marketplace. All combined, these factors led to almost 5% top line growth in dollar terms.

Our operational performance was benefited from our integration efforts, which included plant closures, sourcing and distribution changes and headcount reductions over the past year. Productivity initiatives, such as waste reduction, combined with the synergies, yielded a $32 million benefit in the quarter, putting us on pace to achieve our synergy objectives in the next 2 years.

We continue to invest in modernizing the production platform, expanding distribution and implementing advanced IT systems, which will enable us to realize synergies even further. For the quarter, integration-related expenses totaled about $24 million, as per plan, out of the $100 million budgeted for the full year.

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After the close of the quarter, we completed the acquisition of the Beefsteak brand, which will be accretive once the product is relaunched and also offers long-term growth potential as right now, the brand is only known in certain U.S. markets.

This quarter, we also expect to complete the divestiture process in California.

Continuing on to Latin America, most of our markets generated solid sales and operating results. Unfortunately, the exception was Brazil, which, because of its size, negatively affected consolidated results for the whole region.

On the one hand, we are still seeing lower volumes due to a weak consumption environment. This was compounded by the weaker exchange rate that affected both sales converted into pesos and raw materials procured in dollars. Lower absorption of these costs had a negative impact on our margin.

On the other hand, there are also certain costs associated with the turnaround process we are undertaking, which is focused on revamping the IT system, enhancing the distribution model, optimizing internal processes and strengthening further our internal controls. As Daniel mentioned last quarter, we believe these measures are an important step in getting the operation back on track. In fact, the day-to-day operation is already close to normalized, and our market share and brand positioning remain solid. Nevertheless, we must say that we will continue with our deep analysis of the book value of certain assets in the balance sheet in order to keep our balance sheet as clean as possible.

Lastly, just a quick note on Iberia. Sales were lower year-over-year given the continued macroeconomic challenges in that market. But we're making good progress at improving the cost structure, which resulted in narrowing the loss during the period. We anticipate several more challenging quarters ahead as we wait an economic recovery while we continue to optimize our operations.

In terms of our consolidated financial position, the debt-to-EBITDA ratio was a bit low in March, 2.8x compared to 3x in December, although this was largely due to the foreign exchange rate. Nonetheless, we continue to pursue our target leverage ratios through a disciplined approach to cash management.

Just a quick comment on the increase we saw this quarter for effective tax rate. Similar to the fourth quarter of last year, we did not recognize a deferred income tax benefit coming from losses in Brazil. And in Mexico, the amount of taxes was increased due to a taxable monetary gain arising from the February effect that inflation had in our debt. Combined, these 2 factors drove up effective tax rate more than 13 percentage points from the year-ago period.

So we remain cautiously optimistic about the year ahead despite consumer uncertainty in markets, like Iberia and Brazil, and some pressure on the raw material side. That said, we expect sales trends to continue their positive trajectory in most of our markets as well as the benefits from our integration processes and ongoing operational improvements.
With that said, I'll conclude my remarks this morning. So I will ask Ashley to please proceed with the Q&A session.

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Question and Answer

Operator

[Operator Instructions] And our first question comes from Miguel Mayorga of GBM.

Miguel Mayorga

I have a couple of questions. My first one is regarding the [indiscernible] business. Does the volume and market share gain here from Hostess' absence, are these volumes sustainable going forward? My second question will be about LatAm. And I was wondering how long it's -- you're supposed to take the restructure within the Brazilian business? And the third one is regarding the CapEx. You reduced your gain of MXN 1.03 billion here. I was wondering if this was because of some assets sales or if you could give your thoughts -- give us color here.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Fred, can you please take the first question, please?

Alfred Penny
President of Bimbo Bakeries USA Inc

Absolutely, Guillermo. Good morning, Miguel. I would say that we're -- at BBU, we're working very hard to serve our consumers and our customers across all categories where we picked up business with the Hostess divestiture, and we'll continue to do that and monitor the marketplace as those businesses -- if and when they come back. But I feel comfortable that we're doing everything that we need to do to serve our customers and ensure that we retain as much of that business as possible.

Miguel Mayorga

Okay.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay. Okay. Following with the -- with your question, I have a follow-up. I think -- I would say that with respect to the integration, as I said, we're thinking [ph] very, very deep and sound [ph]. Our expectation is to be very close to an EBITDA breakeven in about 1 year or 1.5 years. And as you well know, Brazil is the most important operation in our Latin America area. That should take the whole region to positive numbers. And I was commenting here with my colleagues that we were able to understand or get as far as the other [indiscernible] question. Can you repeat again, please?

Miguel Mayorga

Yes. I was wondering if you could break down your CapEx for the budget.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay, yes. Armando will...

Armando Giner

Will take that.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Will take that.

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Armando Giner

Yes, we had for the quarter 87 million. The breakdown -- sorry, the breakdown is up a little bit more than 25 million for Mexico, Latin America 30 million and another 30 million for United States.

Operator

And our next question comes from Alan Alanis of JPMorgan.

Alan Alanis
JP Morgan Chase & Co, Research Division

I have a question regarding the Mexican operations, Guillermo. I mean, in the first quarter, you saw the slowest growth of sales in -- that we've seen in 3 years. And yet at the same time, we saw a particular increase in SG&A as a percentage of sales attributed to marketing expenses. What to do you see -- I mean, what do you see going forward in terms of these 2 variables, the volumes in Mexico or the growth of top line in Mexico relative to your expenses? That would be my first question. And I have a second question that I'll make in a moment regarding the United States.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay. So I'll go with the first one. Well, one thing, we're the only ones right now, okay? Yes, I would say, well, basically, we went through price increases during the last part of the year, and that in the short term had an impact in our volumes. People in the Mexican operation are feeling comfortable that, that will be recovered during the rest of the year as the market absorbs these new prices. Also, we are also depending this of the level of consumption in Mexico, which, as you may know, lately has not been very, very good. Plus, forecasts and processes are not -- in the Mexican operation are not being questioned. And regarding the second part, the expenses in marketing, on one hand, coming from the launch of several new products and, on the other, they are just showing a seasonable or unseasonable behavior. I would say that I am completely comfortable by that, that during the year, the rest of the year, they will go back to our normal trends. This is -- these costs are an item that at least are very, very well taken care of by many of us. So you shouldn't expect any increase or expect [indiscernible] rest of the season.

Alan Alanis
JP Morgan Chase & Co, Research Division

But very clearly, if I'm my understanding them correctly, you took pricing at the end of last year. And in Europe, you -- there's a seasonal effect in your expenses in the first quarter. We can add to that what you're saying that the prices of your core raw materials is coming down, which really year-over-year sugar and so forth. So that would mean that you should be expecting a continuation of margin expansion in Mexico actually accelerating throughout the remaining of the year. Is that a fair conclusion or not?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, I would say yes. But just I would add that much of the expansion of the margin is coming from the rising peso. If that -- as you know, if that remains or even strengths -- is more -- strengthens, that would benefit us on raw material side. And so yes. And another thing is that also, as the price of wheat is coming down, that will not bring us a benefit till later in the year because basically, on an average basis, we have hedging positions till September. So the answer is yes, and it's dependent mostly on the FX rate.

Alan Alanis
JP Morgan Chase & Co, Research Division

Okay. Now a quick question on the United States. The -- I was listening to the CEO of Flowers Foods in a New York event a few weeks ago, and it changed a bit my perception in terms of the outlook of the competitive environment in the United States. I was of the idea that the disappearance of Hostess would be a tremendous opportunity and, clearly, it has been. But he was cautious in terms of the increased relevance of private label and the possibility that some of those brands that were from Hostess will

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reappear in the hands not on you -- of you or them but in the hands of private equity investors. So could you give us some color regarding what is your view looking into the rest of 2013 and 2014 in terms of how you perceive the competitive environment in the United States given this context, please?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Well, I think that question goes directly to [indiscernible], okay?

Unknown Executive

Thank you, Guillermo. I'll take that. I have a couple of thoughts on that. I would say generally speaking, the bread category in particular is as competitive now as it's been. .And as you likely know, bread in the U.S. is as much a regional business as a national business. So you can go market to market and find some very different competitive conditions. So I haven't seen any material change in the competitive nature of the category. As to what's going to happen with the brand, and I said this in the last call, I wouldn't speculate on that simply because as far as it relates to the bread, each of the Hostess business is still under Department of Justice review, and I'm certainly not -- I have no idea as to how long that process will take or how it ultimately will end. But I would say, generally speaking, the bread business remains competitive, and I'm not surprised by that.

Alan Alanis
JP Morgan Chase & Co, Research Division

Got it. But would it be fair to say that maybe that competitive environment intensifies a bit once it is defined who -- if those bread brands or Hostess end up in the hands that are not of Flower's or of you? And could they -- and if you can make up just a quick comment on what you're seeing in terms of trends with private label, that would be useful.

Alfred Penny
President of Bimbo Bakeries USA Inc

I'll speak to private label. I don't want to speculate on what -- how those brands are going to be treated.

Alan Alanis
JP Morgan Chase & Co, Research Division

Okay.

Alfred Penny
President of Bimbo Bakeries USA Inc

Private label, depending on where you're looking at in that in the U.S., in some cases, has gained some share as part of the Hostess exit. And another thing is essentially about where they were. And again, there's not one easy answer to that because it varies as you look at it across the different markets.

Operator

And our next question comes from Akshay Jagdale of KeyBanc Capital Markets.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

This is Akshay from KeyBanc. I'm also focused on the U.S. business. Can you -- in terms of your year-over-year growth of, the 5% in U.S. dollar terms, is that what you expected? I mean, it seems a little lower than what I would have thought you would have seen given the market share gains. So can you help me understand that? I mean, is there something missing there? Or is the 5% growth pretty much in line with what you had expected after the Hostess bankruptcy?

Alfred Penny
President of Bimbo Bakeries USA Inc

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Again, well, I'll have that one. I'd say we're -- it's -- the 5% is -- we're comfortable with the number and it's in line with what we expected. There were a couple of other factors that are -- that affected the overall number. One is that we've had the impact of divestitures in California as part of the Sara Lee acquisition and the Department of Justice ruling. And two, as we mentioned on the last call, we took pricing -- needed pricing in the back half of last year to deal with the significant increases in commodities, particularly wheat, and that pricing in some categories has had some impact on some products.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

Okay. So -- and what -- can you quantify the impact of the divestiture in the quarter, roughly?

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes. I'd say it's directionally about a point.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

Okay. And then just again on the competitive dynamics, you said things haven't really changed. But given that from our knowledge, at least, and there's publicly available financials for Hostess, it seemed like they were very, very promotional. And now that, that asset is in the hands of another company that's a bit more rational and with products that are [indiscernible] on the shelf, over time shouldn't we expect competition to abate a little bit? Because it seems it's elevated relative to the historical levels, correct? And shouldn't that abate a little bit?

Alfred Penny
President of Bimbo Bakeries USA Inc

I wouldn't speculate on whether it will abate or not. I know, given the marketplace today and in past years and particularly again in bread, that in large part, the consumers and the customers determine the level of activity, promotional activity. It's a competitive marketplace, and I would suggest that on any given day of the week, you can go in any part of the U.S. market and find that to be the case. And I don't see that changing anytime soon.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

So in other words, you don't expect industry consolidation to have a meaningful impact on the competitor activity, specifically promotional levels as [indiscernible]?

Alfred Penny
President of Bimbo Bakeries USA Inc

I would say I -- we haven't seen that to be the case yet.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

Okay. But do you expect that to happen at some point or...

Alfred Penny
President of Bimbo Bakeries USA Inc

I'm not going to speculate on that. I think if you go back to the private label question, private label has significant share in bread depending on, again, which part of the U.S. and which retail environment has significant share in the U.S. And that certainly has an impact on the overall level of pricing and promotional activities.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

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Okay. And just one last question. I just wanted a little bit more clarification on your wheat costs. You said you're hedged through September. Have you given any sort of guidance on what your cost path [ph]? Is it going to be up or down by? And given where wheat prices are today, beyond what you've hedged, should we expect your costs to continue to come down?

Alfred Penny
President of Bimbo Bakeries USA Inc

Guillermo, are you going to take that question?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. I thought that was the -- for the U.S. The -- and when I was talking about an average of 9 months, that's the average. I understand the U.S. is hedged basically till the end of the year, and the expectation for -- in general in commodities [indiscernible] is they must continue to come down, so we don't speculate on that. But, well, if that happens, again we would start getting some advantages from that by the end of the year.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

But for this year, your costs are going to be up or down?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

No, basically flat.

Operator

And our next question comes from Luca Cipiccia of Goldman Sachs.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

I was going to ask about Brazil. I wonder if you could articulate a bit more on the next step for sort of the how you're tackling this turnaround. If you could help us sort of time what's coming up and also how the overall general operating environment may [indiscernible] affect these steps. And from a top line perspective also, what you're seeing in terms of pricing, volumes in this type of dynamic. And the second question would be also related to this, how should we think about your tax rate for the rest of the year given the implication of the losses in Brazil? That would be very helpful.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay. Basically, what is going on in Brazil is that I would say we are working on several things. First, we are completely changing our distribution system. We -- some years ago, we made that for a system based on micro distributors' independent operations. Unfortunately, this really didn't work. It worked perfectly fine in the U.S., for example. But in Brazil, it didn't prove to be a good [indiscernible]. So we're going back basically to our own same [indiscernible]. That is a very important change because you have to hire a lot of people, which in Brazil right now it's not an easy task to do nowadays. And also, another is since -- our systems [ph] have to be really redesigned to manage that. I would have to admit that some of the micro distributors leave the company or breach the contracts. We have been having problems collecting amounts they owe, even including the trucks, which are their property, but -- as well they pay from -- they were paying the trucks to the company. That is not working for us. Some of the extraordinary charges we have we were forced to pay because our -- in regards to the account receivables of those micro distributors. So that is, I would say, the most important change we are making there. Also -- and this is also a strategy that we'll -- problem that's not related with environment. The implementation for our Oracle platform was not well done there. And after some efforts of making some collections, we are basically doing it all

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over again. So that -- it's also -- that also means a lot of cost, a lot of effort. And on the other side, when we are -- as well changing from micro [ph] doing some contract with our -- with your customer, and also there that we [indiscernible] some losses. I would say that the -- most of the traditional [indiscernible] customers have been moved to cash payment instead of giving them credit. We have established an extremely severe policy there. When a micro distributor is -- doesn't pay accounts, he's -- he receives 100% [indiscernible] in the first day. And when some customers -- they can challenge -- they challenge our 21 day view [ph]. So they also receive. So I feel very, very comfortable that our -- the creation of reserves regarding currency is must be done, and we shouldn't expect other important prices [ph] there. The environment, as you will see, is soft in Brazil. It was -- and I would be honest in saying that, that is the most important part of our problem [ph]. I think that we've made our very own [indiscernible], and we are working on that this season. As I was saying before, I was first of all expecting that they should achieve an EBITDA breakeven by this time this year. I don't know if I'm -- so I [indiscernible]. All right, but perhaps this -- we are suffering from very high tax -- effective tax rates. And unfortunately, I will have to say that unless something very, very different happens in the rest of the year. We should be expecting that tax rate to be made. Or perhaps the dividends [ph] one of the points, but I wouldn't [indiscernible] to see a reduction because first, the -- Brazil, we cannot go restart creating a different tax on them [ph] until the turnaround is completely solid. And the inflationary gains in Mexico, well, they are very willing. We have debts and we are paying and have economic gain from inflation, and that's according Mexican tax rate [ph]. So we've been optimistic, 1 or 2 points lower than the [indiscernible] but not less than that.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

Okay, very clear. And just a very brief follow-up on Brazil. If you look more at the sort of medium, long term therefore, how do you envision these markets to play within your portfolio? Meaning, do you expect -- do you think you could be larger? Would you contemplate maybe acquisition? Or rather, you're looking for smaller but more profitable type operations in Brazil?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay. We still feel that Brazil is going to be a very important market for us definitely and [indiscernible] important market in [indiscernible]. But it will take time. And the country is a huge win in terms of size and in terms of population, but our focus right now is to redesign, to the strengthen our own internal processes. So there might be some other acquisition possibilities, but we are not looking at them. Instead, we will have to do what next we have to do.

Operator

And our next question comes from José Yordán of Deutsche Bank.

José Juan Yordán
Deutsche Bank AG, Research Division

My question was about raw materials, but let's not talk about wheat, which is less than 1/4 of your raw material cost. Can you talk about all the other myriad of raw materials that you have because those have been inflationary over the past couple of years as well? So if you can give us any outlook on what's happening with all the ones we never hear about, starting with soybean oil and all that stuff, but also with all the sort of micro ingredients, that would be helpful?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. Hello, José? Hello? Are you there?

José Juan Yordán
Deutsche Bank AG, Research Division

Yes, I'm here.

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Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Oh, sorry. Basically, what we're doing is several of our raw materials or the spot price is coming down, including oils and fats and corn [ph]. But we are reporting here internally with our hedging policies, which for the most important raw materials which are the ones just mentioned, wheat, oil from fats, cocoa and sugar. We are sticking to the minimum of 4 and maximum of 4 over 9 months. [Indiscernible] it might come down, but we are still waiting to see really what will happen. But [indiscernible] are -- have been soft really.

Unknown Executive

Okay, some [indiscernible] have been increasing. I mean, it's mixed. And they have some [indiscernible], let's say, the 10 most relevant raw materials, some of them have been decreasing gradually, I will say that, maybe 6 out of 10. And 4 of them had been increasing like corn and natural gas. It is a mix. So what we could -- and if you think about the short term, which is based on what we can watch today in the marketplace, is that the overall mix would be stable.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

And also, for example, it depends what you are -- [indiscernible] for example, the corn today is more expensive than -- during the first quarter of last year, it was cheaper than the price we had in December. So it's a mix.

José Juan Yordán
Deutsche Bank AG, Research Division

Well, I mean, I guess I was also thinking, aside from those like cocoa and sugar, I was -- all those sort of preservatives and gluten and all the other sort of expensive but are less, let's say, as a percentage of the weight of the product, is the sort of nonfood raw materials, how are they doing?

Armando Giner

Like -- well, there is a lot that we can discuss. Or maybe you can discuss...

José Juan Yordán
Deutsche Bank AG, Research Division

Just in general.

Armando Giner

We've got Armando Giner, but I fairly use as an example maybe one food -- important materials like the polypropylene and the polyethylene. Okay. But it's not reflected in Brazil, as you know. But it's not the case in Brazil, sorry. But basically, I would say that some of the nonfood important materials are flat. And of course, we can go into a little bit of detail as you would like to with Azul [ph] and Armando in terms of many different things on raw materials, so. Directionally, I think that's [indiscernible].

Operator

And our next question comes from Alex Robarts of Citi.

Alexander Reid Robarts
Citigroup Inc, Research Division

I guess I'd like to start off just first with a question on Mexican sales. I mean, clearly, there's the decelerating trend that's going on, on a year-on-year basis. And I can appreciate that -- the price increase impact on volumes and such. But I guess I'd like to drill into your thoughts vis-à-vis some type of recovery in sales as you look out in the next couple of quarters on a year-on-year basis. In the last call, Daniel mentioned that demand for bread was kind of on the weak side, confectionery and salty and sweet goods was kind of relatively strong. Could you comment a little bit about the demand dynamic right now in those

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businesses in Mexico? And if you were surprised at the volume impact here on cake and cereal bars from this price increase, and kind of really the crux of this question is, do you think we get back into mid-single-digits sales growth year-on-year in Mexico at some point? So that's the first question. The second one really relates to the MEPPs and the pension funds in the United States. I missed the beginning of the call. Sorry if you kind of talked about that early. But specifically, we see that the maximum potential liability now, as has officially been stated by you guys, has been about $1.6 billion, $1.7 billion, and the provision as well has kind of gone up since our last -- or the last public number you gave of that, I guess, it was third quarter last year. So if you could give us a status on the restructuring, particularly at the bakers and confectionery pension fund? It's roughly -- I mean, as we understand, I mean, that's been going on for now kind of past the 1-year mark. Any color on really the potential withdrawal related to that specific MEPP? And I guess related to that, it looks like your contribution expense in the United States is now going to be about 30% higher, about $130 million per year in the United States. And have we seen that already in the first quarter? Did you include that bump-up in the first quarter? And the final one, sorry, is just an accounting question. We noted there was a big drop in the intercompany sales this particular quarter but unusual compared to the past quarters. I think the delta was about a MXN 1.6 billion. In other words, there was only like MXN 900 million in intercompany sales. Have you changed the accounting for that? Or why specifically this quarter did we -- if I have my numbers right, why did we see such a big drop in those intercompany sales?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Okay. Let me go first with the Mexico question. I would say that basically, yes, we weren't expecting the volumes to go up during the quarter. If we separate the bread from confectionery and processed snacks, I would say that bread was [indiscernible] something close to that because of price increase. And our big production last year, you'll recall in -- during the next meeting [ph] of the year. And in snacks, salty snacks and confectionery was -- especially peak during the quarter. We are not so sure that this volume will be recovering, but our guys are still working on that. But yes, we could -- or you could expect that our trend will go back to mid-single-digit growth. The second part of your question, there isn't really nothing happening in the net situation. We are not planning or knowing of any withdrawal [ph] that we could maybe be doing this year or in the future. As you know, this potential impact mentioned in our obviously statements, it was or it was just a contingency in the case of we -- that we withdraw from all the plans, which is quite -- is something that is not really conceivable. And the last part of your question about will we have do increase in the U.S. side [ph], I don't understand that. That, I will ask Steve to clarify with you about that.

Steve Mollick

Yes, I mean, we contributed to our pensions consistent with our obligation as to the pension contributions. If I can add to your point, the MXN 1.6 billion that's been disclosed is a contingent liability, and the actions that would be taken -- need to take place in terms of withdrawals or closures of plants. And although we do plan on continuing with our asset strategy, there is no planned withdrawals or planned contingent liability that's affecting that in the short term.

Alexander Reid Robarts
Citigroup Inc, Research Division

Okay, but I guess what I'm getting, though, you do it now is that contribution spent, annual contribution spent in the United States has bumped up at least what we could determine from the public filings a few weeks ago. And I guess the question is, is that -- has that bump up -- and in our math, it's about 25% more than it was -- Is that happening now this year in your contribution expense side? That's what I'm getting at.

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes, we probably have to take the discussion of math offline, but there's no material increase in our pension contributions.

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Alexander Reid Robarts
Citigroup Inc, Research Division

And then just -- okay. And then just finally, on the intercompany sales accounting question, that would be helpful.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. I will have to review that. I wasn't very clear at all [ph]. But what I can answer to you is that there's no -- any change of policy or any change of the ordinary sales in the subsidiary. So let us go a little bit deeper, and I will get back to you with that. But nothing's really happening.

Alexander Reid Robarts
Citigroup Inc, Research Division

Okay, yes. I can follow up offline.

Operator

And our next question comes from Pablo Naharaji [ph] of Morgan Stanley.

Lillian Starke
Morgan Stanley, Research Division

This is Lillian Starke from Morgan Stanley. Just 2 questions on the U.S. The first is with regards to the fresh bread category. Are you seeing a recovery in volumes there as we have seen in previous quarters and where are these, please? And also, in the U.S., it's related with margins. Do you think the 7%, considering what you're saying internal dynamics and external dynamics, should we expect them to return -- remain at those levels?

Alfred Penny
President of Bimbo Bakeries USA Inc

I'll take the question on the fresh bread overall category growth is -- was your first question?

Lillian Starke
Morgan Stanley, Research Division

Yes, that's right.

Alfred Penny
President of Bimbo Bakeries USA Inc

What we've seen is that the overall fresh bread category is, in tonnage, about flat to slightly down depending on the time frame. I think what, sort of 26 weeks or 52 weeks. I'd say it's a very, very marginal improvement from where we've seen it in -- longer term over the past few years. So you might argue that it's a bit better, it's a bit healthier. But it's, overall at best, flat on a tonnage basis. As regards to our margins, I would simply say that we were more productive as a company this quarter than we were less quarter. We had fewer bakeries, we had a 6% reduction in our total workforce, and we're going to continue to work hard to take our costs down and become more productive and improve our margins going forward.

Operator

This concludes the question-and-answer session. At this time, I would like to turn the floor back to Grupo Bimbo for or any closing remarks.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

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Well, thanks for your time, thanks for your attention, thanks for your questions. Please contact us if you've got any further comments or follow-up, and we look forward to speaking with you in May month [ph]. Have a good day.

Operator
Thank you. This concludes today's presentation. You may disconnect your lines at this time, and have a nice day.

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